

Venture Capital and Entrepreneurial Management

MGMT 264

Evaluating Opportunities II- Rent The Runway Case

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Rent The Runway

- Objectives:
 - Illustrate the power of a customer discovery process and minimum viable product tests
 - Explore the concept of product-market fit. How do you know if you have achieved it? What are the risks of scaling prematurely?
 - Introduce issues about:
 - sourcing talent and assembling the team of early employees, and,
 - the roles and responsibilities of cofounders and early employees

The Business Opportunity

- What is the business opportunity that the founders identified?
- Are the backgrounds and past experiences of the co-founders (Jenn and Jenny) suitable for the business opportunity? What skills/capabilities are missing?

Actions Timeline...

- **November –December 2008**
 - ❑ Becky's closet
 - ❑ Recruiting Jenny Fleiss
 - ❑ Diane von Furstenberg (DVF) cold call
- **February – October 2009**
 - ❑ Pivot away from white label solution
 - ❑ discovery interviews with 20 designers
 - ❑ Market trials – Campus Trunk shows at Harvard and Yale
 - ❑ Commence website design and Development
 - ❑ Funding from Bain capital
 - ❑ Recruit a Board of advisors
 - ❑ Hire Key employees

Actions Timeline (Continued)

■ November 2009 – January 2010

- ❑ Beta Trial
- ❑ Prelaunch publicity
- ❑ Customer insight team

Assessing the Founders Actions

■ Positives

- ❑ Systematic market discovery: Both with designers (the supply side) and renters (the demand side)
- ❑ Application of the learnings from customers' usage of the service to shape the product/service offerings of RTR
- ❑ Implementation of a vertical integrated activity system. Why is it important in an asset utilization business such as RTR

■ Less positive

- ❑ Assembling the operational and technological capability
- ❑ Launching a publicity blast prior to launching when IT and warehouse operations are in Chaos

Product- Market Fit

- Did RTR achieve product-market fit two months after launch in January 2010,?
- Has RTR demonstrated demand from Early adopters?
Metrics include:
 - Growth in registrations
 - Conversion rate of Registrant to renter
 - Repeat rental rate
- Should it commence expansion into:
 - New product categories (accessories? “consumables” such as cosmetics? maternity? shoes?)
 - Expanding demographics (older women)? Why is Jenn the CEO so enthusiastic about this path?

Rent The Runway Deal History

#	Deal Type	Date	Amount	Raised to Date	Pre-Val	Post-Val Status	Stage
13	IPO	19-Jul-2021		\$691.15M		Announced	Generating Revenue
12	Later Stage VC (Series G)	29-Apr-2021	\$70.00M	\$691.15M	\$800.00M	\$870.00M Completed	Profitable
11	Later Stage VC (Series G)	30-Apr-2020	\$100.00M	\$621.15M	\$750.00M	\$800.00M Completed	Profitable
10	Later Stage VC (Series F)	21-Mar-2019	\$125.00M	\$521.15M	\$875.00M	\$1,000.00M Completed	Profitable
9	Debt - General	03-Aug-2018	\$200.00M	\$396.15M		Completed	Profitable
8	Later Stage VC (Series E)	09-Mar-2018	\$20.00M	\$196.15M	\$750.00M	\$770.00M Completed	Profitable
7	Later Stage VC (Series E)	27-Dec-2016	\$60.00M	\$176.15M	\$690.00M	\$750.00M Completed	Profitable
6	Debt - General			\$116.15M		Completed	Generating Revenue
5	Later Stage VC (Series D)	20-Dec-2014	\$60.00M	\$116.15M	\$460.00M	\$520.00M Completed	Generating Revenue
4	Later Stage VC (Series C)	11-Mar-2013	\$24.40M	\$56.15M	\$231.08M	\$255.48M Completed	Generating Revenue
3	Later Stage VC (Series B)	03-Jun-2011	\$15.00M	\$31.75M	\$139.04M	\$154.04M Completed	Generating Revenue
2	Later Stage VC (Series A)	24-Feb-2010	\$15.00M	\$16.75M	\$34.70M	\$49.70M Completed	Startup
1	Seed Round	15-Jul-2009	\$1.75M	\$1.75M	\$3.05M	\$4.80M Completed	Startup

Source: Rent The Runway

Rent The Runway Capitalization Table

Stock	# Of Shares Authorized	Par Value	Original Issue Price	Liquidation	Liquidation Pref. Multiple	Conversion Price	% Owned
Series G	8,140,584	\$0.001000	\$14.74	\$14.74	1x	\$14.74	13.79%
Series F	6,039,272	\$0.001000	\$22.35	\$22.35	1x	\$22.35	10.23%
Series E	3,723,110	\$0.001000	\$21.76	\$21.76	1x	\$21.76	6.31%
Series D	3,609,493	\$0.001000	\$17.04	\$17.04	1x	\$17.04	6.12%
Series C1	351,108	\$0.001000	\$11.11	\$11.11	1x	\$11.11	0.59%
Series C	1,861,323	\$0.001000	\$11.11	\$11.11	1x	\$11.11	3.15%
Series B	1,949,256	\$0.001000	\$7.95	\$7.95	1x	\$7.95	3.30%
Series A	5,187,500	\$0.001000	\$2.89	\$2.89	1x	\$2.89	8.79%
Seed	4,375,000	\$0.001000	\$0.40	\$0.40	1x	\$0.40	7.41%

Source: Rent The Runway

Your Questions?

